

Climate-related risks and opportunities based on the performed scenario analysis

With starting point in changed conditions in northern Sweden and a perspective of 100 years

Climate-related physical risks

Acute risks

- Different types of extreme weather conditions occur more frequently and may affect the value chain, including transportation to customers and raw materials to industry.
- Increased periodical rainfall, torrential rain, occur more frequently.
- Storms occur more often, but the average wind speed is not expected to increase.
- Larger outbreaks of insect and fungal damage in the forest holding.

Chronic risks

- Higher average annual precipitation while periods of drought increase, mainly in terms of the number of days per year.
- More days with low soil moisture. During these periods, access to water is reduced for the trees and fire risk is increased.
- Higher average temperature, fewer frost days and shorter winter season. Also contributes to extended growing seasons that lead to increased growth in the forest.
- Warmer and wetter winters with less ground frost increase the risk of windfalls and have a negative impact on logging conditions in the forest.
- Increased occurrence of insect and fungal damage in the forest holding.
- Changes in access to habitats may impact flora and fauna.

Climate-related transition risks

Regulatory risks (political decisions and legislation)

- Limitations on ownership rights and/or right to the use of forests.
- Differing opinions about how the forest can best be used may impact access to and the price of raw materials.
- Changes in fees and taxes, mainly on CO₂ and transportation.
- Terms, access and pricing for renewable energy and renewable fuel.
- Slow and difficult to predict permit processes.
- Lack of systemic perspective and risk of suboptimal outcomes.

Technological risks

- Development of new competing materials.
- Development of fossil-free production processes that lead to lower substitution needs.

Market risks

- Increased demand for sustainability at all stages of the life cycle.
- Changed consumer habits.

Reputational risks

- Perception of the definition of responsible forest management.

Risks for SCA in the short, medium and long term	Management of risks
Risks in the short term 1–2 years	
• Slow and difficult to predict permit processes. • Increased taxes and fees on fossil emissions. • Increased administration to report emissions. • Requirements to set aside land to promote biodiversity	• Discussions and collaboration forums with stakeholders. Advocacy activities through trade organizations, and other collaborations as well as through own initiatives. • High level of expertise in relevant areas within the company, and through research collaboration, with customers and other parties. • Continued development of forest management through own experience and by following and participating in research work.
Risks in the medium term 2–5 years	
• More days with low soil moisture that reduce access to water for the trees and increase the risk of forest fires. • More frequent torrential rain and a shorter winter season that may create more challenging logging conditions in forest operations. • Increased magnitude of infestation by pests and fungi. • Potential limitations to the right to the use of forest land and requirements to set aside land to protect nature. • Legislation and classification of bioenergy. • Requirements to minimize emissions throughout the value chain, even outside the company's own operations and increased costs for fossil emissions. • Costs to combat and minimize the effects of extreme weather conditions, such as flooding, droughts and storms. • Access to and pricing for renewable and dispatchable energy.	• Good fire-fighting capabilities and developed procedures to monitor the risk of forest fire. Adapted forestry procedures. • Procedures for soil scarification and the development of seedling material when planting new forests. • Increased knowledge about pests (insects and fungi) and how forestry can be adapted to minimize damage. • Cultivating seedling material. • Increased and refined monitoring of the forest holding for early detection of infestation.
Risks in the long term 5–100 years	
• Taxes and fees on emissions. • Costs to combat, minimize and manage the effects of extreme weather conditions, where the magnitude depends on the development of climate change. • Technology development that affects material efficiency, material use and production costs. • Changed requirements on material properties and recycling. • Access to and costs for raw materials and energy. • Changed consumer demands and consumption patterns. • Access to and terms of financing.	• Technology and product development through own initiatives and together with partners. • Landscape planning, site adaptation and choice of seedling material for replanting to improve the robustness of the forest holding. • Development of technology and working practices to address wetter conditions during harvesting and other forestry measures.